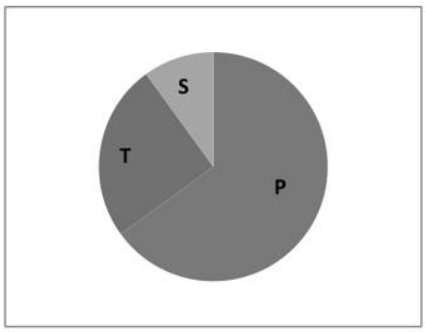
Type MS · Equilibrium, excess demand and excess supply

Answer 1 of 9 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** Demographic changes A is not correct because this would affect the supply curve C is not correct because this would affect the costs of production D is not correct because this would cause a movement along	**(1)**

Question Number	Which **one** of the following is an example of an external cost? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Litter A is not correct because this is an external benefit C is not correct because it is a private cost D is not correct because it is not an external cost	**(1)**

Question Number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Primary sector (P) being the biggest **(1)** Award 1 mark for the Primary sector (P) being greater than 50% **(1)** Award 1 mark for the remaining smaller portion being divided between the Tertiary (T) and the Secondary (S) sectors **(1)**  	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 1 of 9 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Excess supply is where supply is greater than demand and there are unsold products in the market • Market forces refer to supply and demand, as well as how they determine the allocation of scarce resources and price • Where there is excess supply at 10 000 Kip, price will fall as a result of supply being greater than demand • Therefore, at 10 000 Kip, eight LOCA drivers wanted to offer journeys but only four passengers wanted to buy • If drivers lowered their price to 8 000 Kip the excess supply would be removed • Demand rises as the price falls, until the equilibrium price of 8 000 Kip and the equilibrium quantity of six journeys is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Equilibrium, excess demand and excess supply

Answer 1 of 9 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Private benefits + external benefits = social benefits • Education is an external benefit because it has a positive spillover effect • This means that the students who gain education at universities in Norway can benefit third parties in the future • This is because the students can obtain more highly skilled jobs as a result of the education, which can be beneficial to the wider society • As a result, the standard of living in a country, such as Norway, may be better and productivity may be higher • Unemployment may therefore be reduced, as shown by the low rate in Norway, meaning there would be fewer costs to the government, and so it may be cheaper to pay for the education instead of welfare benefits **AO4** • There could be an opportunity cost. The money spent on education could be used for other needs such as healthcare • It will take time for the benefits of education to be enjoyed by others in the country • The students may not stay in Norway, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether students become employed in successful jobs which can benefit society

Type MS · Equilibrium, excess demand and excess supply

Answer 1 of 9 · Question 3 part d · 6 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 1 of 9 · Question 3 part d · 6 marks

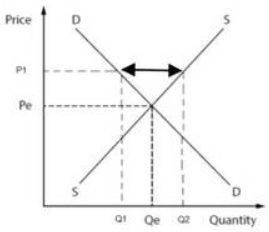
2021 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, **the percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working. Answer	Mark

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 2 of 9 · Question 2 part a · 1 mark

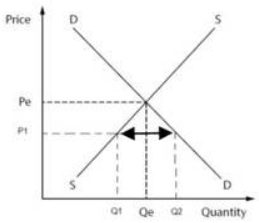
2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 3 of 9 · Question 2 part a · 1 mark

2020 JAN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

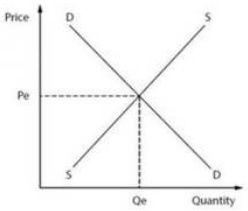
2023 JAN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation 500 - 400 **(1)** Award 1 mark for calculating correct opportunity cost = 100 units of capital goods **(1)** Award 2 marks if opportunity cost is correctly calculated as 100 units of capital goods, even if no calculations are shown Award 1 mark if the answer given is 100, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Equilibrium price is the price at which the quantity supplied equals the quantity demanded • Possible use of a diagram, explained  The diagram shows the equilibrium price (P_e) at the point where the quantity supplied is equal to the quantity demanded (Q_e) • The increase in popularity of tagines bought by tourists means there is an increased demand at the markets visited by tourists, this would shift demand to the right • Therefore, producers are likely to be attracted to those markets in order to sell the tagines to tourists because the increase in demand would lead to them being able to charge a higher price • As the higher price attracts more producers, supply will increase until the point where an equilibrium is reached • At this point, the equilibrium price for tagines sold to tourists will be reached because it is the price where supply is equal to demand

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Competition is where sellers aim to increase sales and profits by attracting customers from rivals in the market • There are many restaurants in Dahab. They are likely to have to keep prices low in order to remain competitive • This is beneficial to customers as they will be able to dine in a restaurant without the need to spend a lot of money • Customers are likely to benefit from good service and quality meals as the restaurant owners need to retain high levels of customer service to keep the custom • A variety of meals, discounts and live entertainment are offered as the restaurants aim to compete with their rivals • This gives customers more choice of what to eat as well as where to eat as the restaurants try to compete on other factors than price **AO4** • However, as the restaurants are less profitable, they may not be able to focus on improving ingredients • This means that some restaurants may not provide quality meals as they focus on trying to reduce costs to make more profit instead • Some restaurants may not be able to stay in business if they cannot bring in enough revenue to cover their costs • This may mean customers lose out on visiting their favourite restaurants, being able to select certain types of food or enjoying the live entertainment • In spite of the drawbacks, a number of new visitors are frequently likely to visit Dahab, meaning the restaurants may benefit from this new custom and be able to use profits to focus on improving meals for future customers • Therefore, there are likely to be a number of both positive and negative impacts for customers of restaurants in Dahab

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 4 of 9 · Question 4 part b · 6 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 5 of 9 · Question 2 part a · 1 mark

2023 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	

Type MS · Equilibrium, excess demand and excess supply

Answer 6 of 9 · Question 1 part e · 1 mark

2023 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 6 of 9 · Question 1 part e · 1 mark

2023 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

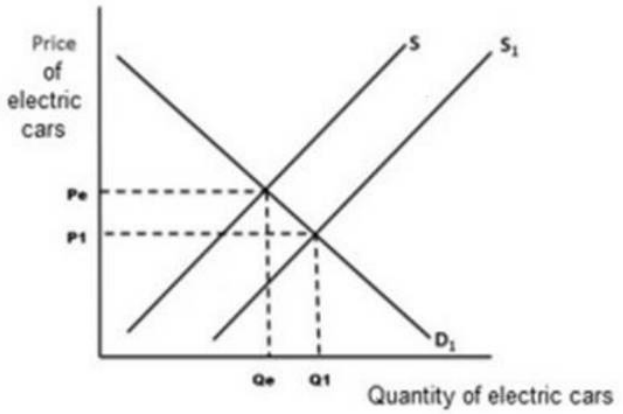
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 6 of 9 · Question 1 part e · 1 mark

2023 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 6 of 9 · Question 1 part e · 1 mark

2023 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Equilibrium, excess demand and excess supply

Answer 6 of 9 · Question 1 part e · 1 mark

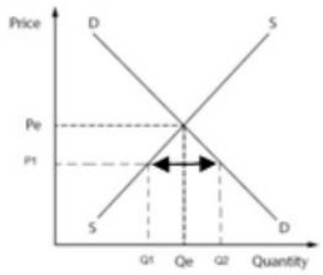
2023 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

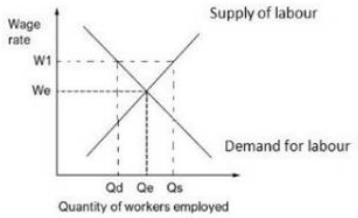
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 7 of 9 · Question 2 part a · 1 mark

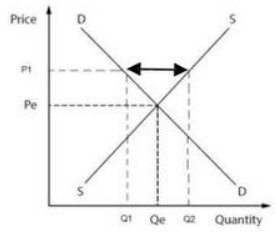
2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	**Mark**

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is:  **C** A is not correct because this shows excess demand B is not correct because this shows an increase in supply D is not correct because this shows a movement along the supply curve	**(1)**

Question number	Which **one** of the following is a feature of a monopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** The firm is a price-maker A is not correct because there is only one firm B is not correct because there would only be one firm in a monopoly D is not correct because barriers to entry would be high in a monopoly	**(1)**

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is -1.9 and the price falls by 10%. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation -10% x -1.9 **(1)** Award 1 mark for correct change in quantity demanded = 19% **(1)** Award 2 marks if the change in quantity demanded is correctly calculated as 19%, even if no calculations are shown Award 1 mark if the change in quantity demanded is calculated as 19, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social benefits? **Answer**	Mark
2(d)	**AO1 1 mark** Award up to 2 marks for a correct definition Private benefits **(1)** plus external benefits **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of an oligopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Barriers to entry **(1)** therefore fewer firms can enter the market **(1)** OR Different products **(1)** to stand apart from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Managers may have the objective of maximising sales **(1)**. Selling at a 10% discount means lower revenue per sale, so the shop may not maximise profit **(1),** but it may result in higher/more sales due to the lower price **(1)** • Managers may have different objectives to owners **(1)** Mostafa may want to maximise sales because it affects his salary **(1)**. The more he sells the higher his salary will be **(1)** Accept any other appropriate response	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because its effects are felt by those not producing or using the plastic bags • One method of government intervention to reduce negative externalities is the use of regulation • Regulation, such as the ban on single-use plastic bags, will limit the amount of pollution produced and reduce the externalities due to penalties if it is not followed • The ban in Kenya has led to a cleaner environment as the reduced consumption means the visual pollution and danger to livestock is less of a problem • Therefore, the regulation has been quite effective in reducing the negative externality **AO4** • However, the regulation has not solved the problem of pollution in Kenya • It costs money and takes time to monitor any illegal activity, causing an opportunity cost • The effectiveness of the regulation depends on the level of enforcement by the government and cooperation from the public • There are likely to be other problems, aside from plastic bags causing pollution in Kenya, which may need to be addressed by other methods than regulation • Other methods of government intervention may be more effective, such as fines or taxation

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 8 of 9 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	An increase in which **one** of the following is most likely to cause a decrease in the supply of labour? **Answer**	**Mark**

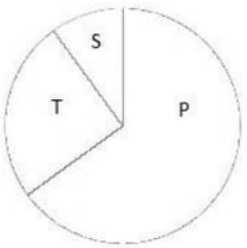
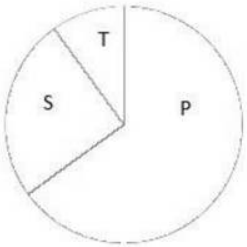
Type MS · Equilibrium, excess demand and excess supply

Answer 9 of 9 · Question 3 part d · 6 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** Price of substitute goods A is not correct because this would affect the costs of production B is not correct because this would not shift the demand curve D is not correct because this would affect the supply curve	**(1)**

Question number	Which **one** of the following is an example of an external cost? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Litter B is not correct because this is a private cost C is not correct because this is not an external cost D is not correct because this is an external benefit	**(1)**

Question number	On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal. **Answer**	**Mark**
3(c)	**AO2 3 marks** Award 1 mark for the primary sector (P) being the biggest **(1)** Award 1 mark for the primary sector (P) being greater than or equal to 50% **(1)** Award 1 mark for the remaining portion being divided between the tertiary (T) and the secondary (S) sector **(1)**  OR  	**(3)**

Type MS · Equilibrium, excess demand and excess supply

Answer 9 of 9 · Question 3 part d · 6 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When excess demand occurs, there are not enough tickets available in the market • As not enough tickets are supplied at 1 500 krona, price will rise as a result of demand being greater than supply • Therefore, at 1 500 krona, 8,000 tickets would be demanded but only a maximum of 6,000 tickets would be available at an event • If the price increased to 2 000 krona, the excess demand would be removed • Demand falls as the price increases, until the equilibrium price of 2 000 krona and the equilibrium of 6,000 tickets is reached

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Equilibrium, excess demand and excess supply

Answer 9 of 9 · Question 3 part d · 6 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare is an external benefit because it has a positive spillover effect • This means that the people who receive healthcare in Indonesia can provide a benefit to third parties • This is because when people are healthy, they would be more likely to be able to perform their jobs and carry out activities in the economy, which can be beneficial to the wider society • Therefore, firms are also more likely to be able to produce the standard/quality of goods and services demanded by people in Indonesia • Economic growth has therefore increased, as shown by the better-than-expected rise, thus benefitting the people of Indonesia **AO4** • However, there could be an opportunity cost. The money spent on healthcare could be used for other needs such as education • It will take time for the benefits of healthcare to be enjoyed by others in the country because people may not be able to return to work immediately, nor be guaranteed to be productive • People may not stay in Indonesia, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits • It is sometimes difficult to quantify and to give a monetary value to external benefits • It depends on other factors whether people maintain/gain employment in jobs which can benefit society

Type MS · Equilibrium, excess demand and excess supply

Answer 9 of 9 · Question 3 part d · 6 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Equilibrium, excess demand and excess supply

Answer 9 of 9 · Question 3 part d · 6 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working. **Answer**	Mark